

SENATE BILL 2502

By Campbell

AN ACT to amend Tennessee Code Annotated, Title 4;
Title 5; Title 6; Title 7; Title 13; Title 58 and Title
65, relative to local electric systems.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 7, Chapter 52, is amended by adding
the following as a new part:

7-52-701. Short title.

This part is known and may be cited as the "Electric Grid Resilience,
Transparency, and Planning Act."

7-52-702. Part definitions.

As used in this part:

(1) "Board" means the Tennessee board of utility regulation, created by §
7-82-701;

(2) "Electric service" means the furnishing of electric power and energy
for lighting, heating, power, or any other purpose for which electric power and
energy can be used;

(3) "Federal agency" includes the United States, the president of the
United States, the department of housing and urban development, the
Tennessee valley authority, or any other similar agency, instrumentality, or
corporation of the United States, that has been or may be created by or pursuant
to an act of the congress of the United States;

(4) "Local electric system" or "system" means a local government utility that provides electric service to not less than ten thousand (10,000) customers; and

(5) "Local government" means a county, municipality, metropolitan government, incorporated city, or town in this state, or an entity of a county, municipality, metropolitan government, incorporated city, or town in this state.

7-52-703. Annual electric reliability and resilience report.

A local electric system serving not less than the number of customers defined pursuant to rules promulgated by the board shall file with the board and publish in a publicly accessible location on the system's website an annual report. The report must include:

- (1) Systemwide electric reliability metrics;
- (2) Identification of repeat-outage circuits or geographic areas;
- (3) Restoration performance and use of mutual aid resources;
- (4) Emergency staffing and operational readiness summaries;
- (5) Information regarding major storm or weather events; and
- (6) The system's consideration of protection of critical facilities and populations most impacted by prolonged outages in the system's planning.

7-52-704. Vegetation management plan transparency.

A local electric system shall publish in a publicly accessible location on the system's website an annual vegetation management plan no later than January 1, 2027, and each January 1 thereafter. The vegetation management plan must include:

- (1) Trimming cycles by circuit type;
- (2) Prioritization methodology for high-risk or outage-prone feeders; and
- (3) Inspection and contractor oversight practices.

7-52-705. Long-term grid hardening and undergrounding planning.

(a) No later than January 1, 2027, a local electric system shall publish in a publicly accessible location on the system's website a ten-year grid resilience plan. The plan must be updated and republished no later than January 1 at the beginning of each ten-year cycle to which the plan applies.

(b) The ten-year grid resilience plan must:

(1) Identify grid hardening strategies, including selective undergrounding, covered conductor, automation, and other resilience measures;

(2) Establish prioritization criteria, including repeat outages, critical infrastructure, population density, feasibility, and equity considerations;

(3) Include mitigation strategies for areas in which repeat outages occur;

(4) Include estimated cost ranges and anticipated funding approaches;

and

(5) Require coordination with roadway, capital improvement, or infrastructure projects when feasible to reduce overall costs.

(c) This section does not require a local electric system to conduct additional construction or make additions to system infrastructure.

7-52-706. Major outage after-action reporting.

(a) A local electric system shall publish in a publicly accessible location on the system's website an after-action report following a declared severe weather event or emergency involving power outages that exceed the threshold established pursuant to rule by the board.

(b) The report must address:

(1) Causes of system failures;

(2) Restoration challenges and timelines; and

(3) Corrective actions or policy changes identified to improve restoration timelines and resource use for future power outages.

7-52-707. Emergency communications standards.

(a) A local electric system shall maintain minimum public communication standards during declared emergencies, including severe weather events for which an executive order is issued by the governor, a mayor, or another executive officer of a local government.

(b) The minimum public communication standards required under subsection (a) must include:

(1) Provision of warnings and updates regarding conditions, restoration efforts, and other information necessary for the safety of individuals residing within the local electric system's jurisdiction, not less than once every five (5) hours during a declared emergency;

(2) Explanation of the methodology used to estimate when restoration of services will be complete; and

(3) Designation of a liaison for coordination with local emergency management agencies.

7-52-708. Enforcement and construction.

(a) If an individual or entity reasonably believes that a local electric system has failed to comply with this part, then the individual or entity may submit a complaint to the board.

(b) If the board finds that a local electric system failed to comply with this part, then the board must send the local electric system a notice of noncompliance indicating the report or plan that the system must publish to be in compliance with this part.

(c) This part does not:

(1) Create a private cause of action against a local electric system for failure to comply with this part; and

(2) Apply to or otherwise affect a federal agency or federal law or requirement. If application of this part affects or conflicts with a federal law or requirement, then the federal law or requirement controls.

7-52-709. Rulemaking.

The board shall promulgate rules to effectuate this part in consultation with the Tennessee emergency management agency. The rules must include:

(1) What constitutes a repeat outage area, using objective outage frequency and duration thresholds; provided, that separate thresholds may be established for different localities or regions based on population, geographic differences, and other relevant considerations;

(2) The outage threshold after which a public after-action report is required pursuant to § 7-52-706; and

(3) Any other rules necessary to effectuate this part.

SECTION 2. The headings in this act are for reference purposes only and do not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the headings in any compilation or publication containing this act.

SECTION 3. This act takes effect July 1, 2026, the public welfare requiring it.